



“The underlying sectors in which we invest are energy transition, climate-resilient agriculture, mobility and supply chain. These sectors constitute 90 per cent of the emission footprint in India”

ANJALI BANSAL
FOUNDING PARTNER,
AVAANA CAPITAL



“We are not only looking at what impact it (climate-tech) is creating but also how it is changing the rules of the game related to ESG overall”

CHAITANYA KALIA
CLIMATE CHANGE AND
SUSTAINABILITY SERVICES
LEADER, EY INDIA



“Avaana has helped us connect with many prominent families in India and the Middle East who share [our] vision, and as a result, we are in the process of setting up proprietary farms in many new regions”

ABHAY SINGH
CO-FOUNDER
AND CEO, EEKIFOODS

gies, regenerative agriculture, water management, energy access, and Scope 3 (indirect emissions from a company's value chain) measurement, monitoring and reporting.

AVAANA HAS BEEN “very disciplined” regarding the selection of investment areas, says Bansal. “We’ve also defined what we will not do... we won’t do generalist fintech, generalist consumer, generalist SaaS, or generalist education. We also don’t do OEMs or charging infra,” she adds. “Everything has to solve for mitigation, adaptation or resilience—those are our climate winters.”

Chaitanya Kalia, Climate Change and Sustainability Services Leader at EY India, asserts that India’s climate-tech ecosystem is rapidly maturing, creating abundant opportunities for thematic funds like Avaana. “We are not only looking at what impact it is creating but also how it is changing the rules of the game related to ESG overall. Second, the regulations are shaping up. So, we will see a lot more VC funds flow into the segment because it now gives them better visibility into the growth and possible returns of their investments. Third and most importantly, everyone is realising the enormous value this sector is creating, and that is the core of this growth story,” he says.

India is just getting started on its path towards sustainable finance. Research and analytics firm Benori Knowl-

edge predicts that by 2026, Indian PE/VC firms will have invested \$125 billion in sustainable projects, representing 40 per cent of their total assets under management. And, most of these investments will be in renewable power production, e-mobility, agritech, and waste management.

The government’s environmental policies will further impact sustainable investments by PE and VC firms as companies are required to prioritise green investments in light of India’s commitment to reducing carbon emissions. As a result, India-focussed VC firms are increasingly raising funds to invest in climate-related initiatives in the country. For instance, GEF Capital Partners, an Indian alternative asset manager, in March last year secured \$200 million for clean energy and climate-related investments. EverSource Capital, a JV between Everstone Capital and Lightsources BP, raised \$741 million for its Green Growth Equity Fund in January 2022. Global alternative asset management firm TPG in April 2022 raised \$7.3 billion for TPG Rise Climate, for which India is a priority market. All these examples indicate that the early-stage climate-tech start-up ecosystem in India is slowly emerging.

India’s pivotal role in the global climate challenge positions it as a crucial player for a sustainable future, and Avaana aims to be a catalyst to spearhead this transformation by championing early-stage climate-tech start-ups. **BT**

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